Notations :

1.Options shown in green color and with ✔ icon are correct.

2.Options shown in red color and with ✖ icon are incorrect.

Change Font Color :	No
Change Background Color :	No
Change Theme :	No
Help Button :	No
Show Reports :	No
Show Progress Bar :	No

Corporate Finance

Section Id :	640653138852
Section Number :	1
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	36
Number of Questions to be attempted :	36
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653387373
Question Shuffling Allowed :	No

Question Number : 1 Question Id : 6406532126441 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE

(COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406536929295. ✔ Yes

6406536929296. ✖ No

Sub-Section Number :	2
Sub-Section Id :	640653387374
Question Shuffling Allowed :	Yes

Question Number : 2 Question Id : 6406532126442 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If the real interest rate is 15.5% and the expected inflation rate is 10.2%, the nominal interest rate is 4.81%.

Options :

6406536929297. ✖ True

6406536929298. ✔ False

Question Number : 3 Question Id : 6406532126443 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A downward-sloping yield curve indicates that long-term interest rates are higher than short-term interest rates.

Options :

6406536929299. ✖ True

6406536929300. ✔ False

Question Number : 4 Question Id : 6406532126444 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If the exchange rate changes from 90 Rupees per Dollar to 95 Rupees per Dollar, then the Rupee has depreciated, and it buys more American goods.

Options :

6406536929301. ✖ True

6406536929302. ✔ False

Question Number : 5 Question Id : 6406532126445 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

An American call option gives the holder the right to buy the underlying asset at the strike price on or before the expiry date.

Options :

6406536929303. ✔ True

6406536929304. ✖ False

Question Number : 6 Question Id : 6406532126446 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A bank's capital ratio is defined as the ratio of its liabilities to its total assets.

Options :

6406536929305. ✖ True

6406536929306. ✔ False

Question Number : 7 Question Id : 6406532126447 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Capital requirements and asset restrictions are governance tools to develop safeguards against banking collapse.

Options :

6406536929307. ✔ True

6406536929308. ✖ False

Question Number : 8 Question Id : 6406532126448 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If an investor writes a put option, her maximum potential loss is the strike price minus the premium received.

Options :

6406536929309. ✔ True

6406536929310. ✖ False

Question Number : 9 Question Id : 6406532126449 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Suppose the current market price of a stock is Rs. 82. If a put option on this stock has a strike price of Rs. 80, then the option is in-the-money.

Options :

6406536929311. ✖ True

6406536929312. ✔ False

Question Number : 10 Question Id : 6406532126450 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The Efficient Market Hypothesis asserts that a trader should not be able to use any available information to predict future returns better than the market can.

Options :

6406536929313. ✔ True

6406536929314. ✖ False

Question Number : 11 Question Id : 6406532126451 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The risk-free rate is 3%. The expected market rate of return is 9%, and the standard deviation of the market return is 12%. Then, the slope of the Security Market Line (SML) is 0.5.

Options :

6406536929315. ✖ True

6406536929316. ✔ False

Question Number : 12 Question Id : 6406532126452 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

In the Black-Scholes pricing formula, the stock prices are considered to be log-normally distributed.

Options :

6406536929317. ✔ True

6406536929318. ✖ False

Question Number : 13 Question Id : 6406532126453 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A long position in an option describes holding an option contract with a maturity of more than 2 years.

Options :

6406536929319. ✖ True

6406536929320. ✔ False

Question Number : 14 Question Id : 6406532126454 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A call option decreases in value when the stock price increases, with all else remaining the same.

Options :

6406536929321. ✖ True

6406536929322. ✔ False

Question Number : 15 Question Id : 6406532126455 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A long straddle strategy requires buying both a call and a put option, each with a different strike price and different expiration date.

Options :

6406536929323. ✖ True

6406536929324. ✔ False

Question Number : 16 Question Id : 6406532126456 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The part of the minimum variance set that lies below the global minimum variance portfolio is called the efficient frontier.

Options :

6406536929325. ✖ True

6406536929326. ✔ False

Sub-Section Number :	3
Sub-Section Id :	640653387375
Question Shuffling Allowed :	Yes

Question Number : 17 Question Id : 6406532126457 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Suppose you purchased a call option 22 days ago for Rs. 5.50. The call option has a strike price of Rs. 64, and the stock is now trading for Rs. 72. If you exercise the call option today, what will be your holding period return?

Options :

6406536929327. ✖ 4.17%

6406536929328. ✖ 28.57%

6406536929329. ✔ 45.45%

6406536929330. ✖ 77.78%

Question Number : 18 Question Id : 6406532126458 Question Type : MCQ
Correct Marks : 3
Question Label : Multiple Choice Question
OPQ Inc. has an expected rate of return of 20% and a standard deviation of the rate of return of 18%. The expected market return is 12%, and the standard deviation of market return is 15%. OPQ Inc. has a correlation coefficient with the market of 0.5. Then, what is the market beta of OPQ Inc.?
Options :
6406536929331. ✔ 0.6
6406536929332. ✖ 1.0
6406536929333. ✖ 1.2
6406536929334. ✖ 1.5

Question Number : 19 Question Id : 6406532126459 Question Type : MCQ
Correct Marks : 3
Question Label : Multiple Choice Question
Suppose that the interest rate at a point in time in the domestic economy is 5%, and the interest rate in the foreign economy at that point in time is 8%. What is the expected rate of appreciation of the domestic exchange rate at that point in time?
Options :
6406536929335. ✖ -4.81%
6406536929336. ✖ -2.86%
6406536929337. ✔ 2.86%
6406536929338. ✖ 4.81%

Question Number : 20 Question Id : 6406532126460 Question Type : MCQ
Correct Marks : 3
Question Label : Multiple Choice Question
A trader buys a call option on a stock with a strike price of Rs 78 when the option price is Rs 4. The trader makes a profit when the stock price is
Options :
6406536929339. ✖ Rs 60
6406536929340. ✖ Rs 70
6406536929341. ✖ Rs 80
6406536929342. ✔ Rs 90

Question Number : 21 Question Id : 6406532126461 Question Type : MCQ
Correct Marks : 3
Question Label : Multiple Choice Question
Suppose that in the Black-Scholes pricing formula for a call option, we have $N(d_1) = 0.5$ and $N(d_2) = 0.6$. If the stock price increases by Rs 1, then what will be the change in the price of the

call option?

Options :

6406536929343. ✖ The call option price increases by Rs 1.

6406536929344. ✔ The call option price increases by Rs 0.5.

6406536929345. ✖ The call option price decreases by Rs 0.6.

6406536929346. ✖ The call option price decreases by Rs 0.5.

Question Number : 22 Question Id : 6406532126462 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A firm has three divisions: sales division, accounting division and logistics division. The sales division has a beta of 2.1, the accounting division has a beta of 0.7, and the logistics division has a beta of 1.4. The sales division has 50% of the company’s assets, the accounting division has 20%, and the logistics division has 30%. What is the company’s overall beta?

Options :

6406536929347. ✖ 1.15

6406536929348. ✖ 1.41

6406536929349. ✔ 1.61

6406536929350. ✖ 1.81

Question Number : 23 Question Id : 6406532126463 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A stock currently trading at Rs 25 can either rise to Rs 30 or fall to Rs 20 in three months. The three-month risk-free rate is 4%. Using the risk-neutral approach, what is the risk-neutral probability that the stock price increases?

Options :

6406536929351. ✖ 78.6%

6406536929352. ✔ 60.0%

6406536929353. ✖ 48.9%

6406536929354. ✖ 43.1%

Question Number : 24 Question Id : 6406532126464 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Your expected return on a stock is 18%. The stock has a beta of 1.6. If the risk-free rate is 4% and the expected market return is 12%, what is the stock's alpha (in percent)?

Options :

6406536929355. ✖ -2.4%

6406536929356. ✖ -1.2%

6406536929357. ✔ 1.2%

6406536929358. ✖ 2.4%

Question Number : 25 Question Id : 6406532126465 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A risky asset has an expected rate of return of 18%, and the Sharpe ratio of this risky asset is 0.75. If the risk-free rate of return is 8%, then what is the standard deviation of the rate of return of the risky asset?

Options :

6406536929359. ✔ 13.33%

6406536929360. ✖ 11.22%

6406536929361. ✖ 9.35%

6406536929362. ✖ 8.28%

Question Number : 26 Question Id : 6406532126466 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Consider an asset whose return over the next year is sensitive to two factors – return on a weather index (r_w) and return on a commodity index (r_c). Suppose that the sensitivity of the asset return to the weather index is 1.2 and the sensitivity of the asset return to the commodity index is 1.6. If the risk-free interest rate is 4%, the risk premium on the weather index is 4%, and the risk premium on the commodity index is 6%, then what is the expected return on the asset over the next year, according to the Arbitrage Pricing Theory?

Options :

6406536929363. ✖ 7.2%

6406536929364. ✖ 9.5%

6406536929365. ✖ 12.4%

6406536929366. ✔ 18.4%

Sub-Section Number :	4
Sub-Section Id :	640653387376
Question Shuffling Allowed :	Yes

Question Number : 27 Question Id : 6406532126467 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

Lokesh is considering investing in an opportunity that promises to pay Rs 2,000 in one year, Rs 2,500 in two years and Rs 3,000 in three years. If the prevailing constant rate of return is 8%, then what is the maximum price that Lokesh should agree to pay for the opportunity? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

6370 to 6390

Question Number : 28 Question Id : 6406532126468 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

The price of a six-month European put option on a non-dividend-paying stock with a strike price of Rs 450 is Rs 30. The stock price is Rs 430, and the annual risk-free rate is 10% (continuously compounded). What is the price of a six-month European call option on the same stock with a strike price of Rs 450? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

31 to 33

Question Number : 29 Question Id : 6406532126469 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

The current price of a non-dividend-paying stock is Rs 60. Over the next six months, it is expected to rise to Rs 75 or fall to Rs 55. Assume the risk-free rate is zero. A six-month call option with a strike price of Rs 70 is trading at Rs 4. How many options are required to hedge the purchase of 50 stocks? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

195 to 205

Question Number : 30 Question Id : 6406532126470 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

The current share price of OPC Inc. is Rs 400. OPC Inc. is expected to pay a dividend of Rs 20 per share next year. The appropriate cost of capital is x% per year, and the OPC Inc. dividend is expected to grow at 2% per year. If OPC Inc. is fairly priced according to the Gordon Growth model, then what is the value of x? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

6.5 to 7.5

Question Number : 31 Question Id : 6406532126471 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

An employee contributes 100 rupees per year to a retirement account with 7% average annual returns. She starts contributing after age 30 and continues until retirement at 60 (a total of 30 years of contributions). How much would the employee have in her retirement account at the age of 60 (in rupees)? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

9000 to 10000

Question Number : 32 Question Id : 6406532126472 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

A stock is trading at Rs 40 today. In six months, the stock price can either increase to Rs 50 or decrease to Rs 35. The six-month risk-free rate is 5%. A six-month call option has an exercise price of Rs 45. What would it cost (in Rs) to buy 100 such call options? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

220 to 230

Question Number : 33 Question Id : 6406532126473 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

A one-year European call option with a strike price of Rs 80 is selling at a call price of Rs 4. A one-year European put option with a strike price of Rs 80 is selling at a put price of Rs 6. The current share price is Rs 75. One year later, the share price increases to Rs 96. If you purchase two call options and one put option today, then how much profit do you make in one year? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

17.5 to 18.5

Question Number : 34 Question Id : 6406532126474 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

The risk-free rate of return is 4%. The optimal risky portfolio has an expected return of 12% and a standard deviation of 18%. An investor optimally allocates her total wealth of 100 units between the risk-free asset and the optimal risky portfolio. Her utility function is given as $U = \mu - 5\sigma^2$. Given this information, what is the expected value of her wealth in the next period? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

105 to 107

Question Number : 35 Question Id : 6406532126475 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

An investor purchases one call option and two put options with the same strike price of Rs 65 and maturity of three months. The three-month risk-free rate is 4%. The price of the call option is Rs 8, and the price of the put option is Rs 4. What is the maximum loss (in Rs) the investor may incur on her portfolio with this strategy? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

15.5 to 16.5

Question Number : 36 Question Id : 6406532126476 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 4

Question Label : Short Answer Question

A project is expected to have a payoff of Rs 4,000 in one year. The beta for the project is 1.5. If the risk-free rate is 4% and the expected market return is 8%, what should be the price (in Rs) for the project according to CAPM? (Round off to the nearest integer)

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

3630 to 3640